

Multiple Choice (10 marks)

1. What is the chief reason why farm policy was not conceived as simply part of an overall income distribution policy?
 - (a) Geographic diversity of farming regions
 - (b) Environmental concerns
 - (c) Consumer preference for organic produce
 - (d) Lack of funding
 - (e) Technological advancements in agriculture
2. What is credit?
 - (a) The ability to buy goods and services
 - (b) A financial instrument that represents ownership in a company
 - (c) A system where goods and services are exchanged for commodities
 - (d) A government-issued bond or security
 - (e) A method of payment
3. Which of the following is most likely to be true in the long run for a monopoly firm?
 - (a) $P = ATC > MR = MC$
 - (b) $P = ATC = MR > MC$
 - (c) $P > MR = MC = ATC$
 - (d) $P = MR = MC > ATC$
 - (e) $P = MR > MC = ATC$
4. What will happen to transfer earnings and economic rent if land has only a single use?
 - (a) The price of the land is entirely made up of transfer earnings.
 - (b) Economic rent remains constant while transfer earnings fluctuate with market demands.
 - (c) Transfer earnings are zero and the price of the land is entirely made up of economic rent.
 - (d) Both transfer earnings and economic rent increase proportionally.
 - (e) Transfer earnings and economic rent vary inversely; as one increases, the other decreases.
5. Why is the danger inherent in the issuance of fiat money?

- (a) It is often used to meet emergencies.
- (b) Its quantity is controlled by the government rather than by market forces.
- (c) It is backed by a physical commodity like gold or silver.
- (d) It encourages the accumulation of debt through interest-free loans.
- (e) It is used for buying military supplies during a war.

True / False (10 marks)

Answer True or False

- 6. True or False: The value of the dollar will tend to appreciate if demand for exports rises and domestic demand for foreign goods decreases.
- 7. True or False: Freedom of choice is an essential feature of capitalism, allowing individuals to make decisions about production and consumption.
- 8. True or False: A monopsony pays less for inputs compared to a competitive market and hires more workers than would occur in a competitive input market.
- 9. True or False: In a transition from a monopsony to a perfectly competitive labor market, both wages and employment would increase.
- 10. True or False: Economic stabilization policy operates without any significant time-lags, allowing for immediate effects on the economy.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

- 11. Discuss how the purchase of an entertainment system manufactured in China by an American consumer affects the U.S. national income accounts, specifically focusing on net exports and GDP.
- 12. Discuss the key differences and similarities between monopoly and monopsony, analyzing their effects on market dynamics and consumer welfare in an economy.

End of Paper